THE NATIONAL COMPANY LAW TRIBUNAL
ALLAHABAD BENCH, PRAYAGRAJ

CA (CAA) No. 22/ALD of 2023

(First Motion)

Under Section 230 to 232 and other Applicable Provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements & Amalgamations) Rules, 2016

IN THE MATTER OF SCHEME OF ARRANGEMENT OF:

Lohia Corp Limited

Having its Registered Office at:
D-3/A, Panki Industrial Estate,
Kanpur – 208022, Uttar Pradesh
PAN: AAACL2470J
CIN: U29263UP1981PLC005446
...Applicant Transferor Company/Demerged Company

And

Kanpur Packaging Machines Limited

with its Registered Office at
D-3/A, Panki Industrial Estate, Kanpur – 208022, Uttar Pradesh
PAN: AAKCK2932Q
CIN: U28261UP2023PLC183476
...Applicant Transferee Company / Resulting Company

Order delivered on: 22nd September, 2023

Coram: HON'BLE MR. PRAVEEN GUPTA, MEMBER (JUDICIAL)

HON'BLE MR. ASHISH VERMA, MEMBER (TECHNICAL)

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Present through Video Conferencing: -

For the Applicant Companies: Mr. S.K. Gupta, PCS

ORDER

1. This is a joint First Motion Application filed by Applicant Companies namely; **Lohia Corp Limited** (for short hereinafter referred to as Applicant Transferor Company/Demerged Company) and **Kanpur Packaging Machines Limited** (for short hereinafter referred to as Applicant Transferee Company/Resulting Company) under Section 230-232 of the Companies Act, 2013 (the Act) and other applicable provisions of the Act read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (the Rules) in relation to the Scheme of Arrangement for Demerger between the Applicant Companies. The said Scheme is attached as **Annexure A-1** of the Application.

2. The Applicant Companies have prayed for dispensing with the requirement for convening the meetings of the Equity Shareholders of both the Applicant Transferor Company/Demerged Company and Applicant Transferee Company/Resulting Company, Meeting of the Creditors of the Applicant Transferee Company/Resulting Company. It is further

prayed to convene the meetings of both the Secured Creditors and Unsecured Creditors of the Applicant Transferor Company/Demerged Company.

3. The Applicant Transferor Company/Demerged Company is primarily engaged in the business of manufacturing of Technical Textile Machinery and has investment in multiple subsidiaries engaged in different business(s).

4. The Applicant Transferee Company/Resulting Company has the primary objective of carrying the business of manufacturing and producing Textile Machines and Equipment and is a wholly-owned Subsidiary Company of the Applicant Transferor Company/Demerged Company.

5. It is submitted that the Registered Offices of the Applicant Companies are situated in the State of Uttar Pradesh and, therefore, all the Applicant Companies are under the territorial jurisdiction of this Bench.

6. The rationale for the Scheme of Arrangement for Demerger of Technical Textile Machinery Business **('Demerged/Core Undertaking'**) of the Applicant Transferor Company/Demerged Company along with all the estate, assets, liabilities, rights, title, claims, interest and authorities including accretions and

appurtenances thereof and vesting the same as a going concern with the Applicant Transferee Company/Resulting Company' is, inter alia, as follows:-

(i) The Demerged Company is primarily engaged in the business of manufacturing of Technical Textile Machinery Business **('Demerged/Core Undertaking' more specifically defined in Clause 1.7 of this Scheme)** in India and in overseas jurisdictions (including *via* direct exports and through overseas subsidiaries). LCL also acts as investment holding company for the group and holds other assets/properties;

(ii) Management believes that the nature of offerings and the risk and return profile of the Technical Textile Machinery Business of the Demerged Company, being its mainstay, wherein it operates as one of the prominent market/segment players, is different vis-à-vis the Other Business(s);

(iii) The demerger will allow the management to devise, implement and pursue independent business strategies for the Technical Textile Machinery Business. The Resulting Company housing Technical Textile Machinery Business with separate portfolios and service offerings would have wider scope for

independent collaboration, investment opportunities and expansion;

(iv) Considering the above, the management intends to segregate its Technical Textile Machinery Business, so as to scale the operations, achieve economies of scale, and unlock the growth potential of Technical Textile Machinery Business;

(v) In order to achieve the aforementioned objective, it is envisaged that the Technical Textile Machinery Business of the Demerged Company should be demerged into the Resulting Company. It is expected that such restructuring will be beneficial for the Demerged Company, the Resulting Company and their respective shareholders and creditors, as it would result in concentrated focus on the Technical Textile Machinery Business by the Resulting Company and on the Non-Core Undertaking by the Demerged Company, consequently resulting into:-

- unlocking the value of independent businesses for the stakeholder.
- focused business approach to the respective line of business;
- enable strategic / financial investment in Core business; and benefit of financial resources, managerial, technical and marketing expertise.

7. It is stated that the Board of Directors of the Applicant Transferor Company/Demerged Company and Applicant Transferee Company/Resulting Company in their meetings held on 21st August, 2023 have considered and unanimously approved the Scheme of Arrangement subject to sanctioning of the same by this Tribunal. The copies of the Board Resolutions of the Applicant Transferor Company/Demerged Company and Applicant Transferee Company/Resulting Company are attached as **Annexure A-6** and **Annexure A-7** respectively of the application.

8. The Appointed Date of the Scheme is 1st April, 2024 or the Effective Date, whichever is earlier as mentioned in Part – A Clause 1.3 of the Scheme of Arrangement which is attached as **Annexure A-1** of the Application.

9. It is stated that the Applicant Transferor Company/Demerged Company have filed the Audited Financial Statements as on 31st March, 2023 which are attached as **Annexure A-3** of the application.

10. It is stated that the Applicant Transferee Company/Resulting Company have filed the Provisional Financial Statements for the period ended 20th August, 2023 which are attached as **Annexure A-5** of the application.

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11. It is submitted that no corporate debt restructuring is envisaged in the proposed Scheme of Arrangement.

12. It is further submitted that in pursuance of the proviso to Section 230 (7) and Section 232 (3) of the Act, the Applicant Companies have filed the certificates dated 29th August, 2023 and 22nd August, 2023 respectively issued by the Statutory Auditors of the Applicant Companies certifying that the Scheme is in compliance with the Accounting Standards under Section 133 of the Act and the same are attached as **Annexure A-9** and **Annexure A-10** respectively of the application.

13. It is further submitted by the Counsel for the Applicant Companies that the Valuation Report/Share Exchange Ratio Report dated 21st August, 2023 submitted by Mr. Niranjan Kumar, a Registered Valuer for Securities and Financial Assets (Registration No. IBBI/RV/06/2018/10137) is attached as **Annexure A-8**. As per the said Report, the Applicant Transferee Company/Resulting Company shall in consideration of the demerger of the 'Demerged Undertaking' without any further act, instrument, deed or matter, issue and allot fully paid-up equity shares to eligible Equity Shareholders of the 'Applicant Transferor

Company/Demerged Company', as on the Record Date, in the following manner:

"1 (One) Equity share of KPML having face value of INR 1/- each fully paid up shall be issued for every 1 (One) Equity share of INR 1/- each fully paid up held in LCL".

14. It is submitted by the learned counsel that the Scheme (**Annexure A-1**) also takes care of the interests of the staff/workers and employees of the Applicant Companies, by virtue of Part-B Clause 4.4 of the Scheme.

15. The Authorised Signatories of the Applicant Companies have deposed by way of affidavits that the Applicant Companies are not regulated by any sectoral regulators. The aforesaid affidavits of the Authorised Signatories are attached as **Annexure A-19(a)** and **Annexure A-19(b)** respectively of the Application.

16. It is deposed by the Authorised Signatories of the Applicant Companies that there are no inspection, inquiry, investigations or legal proceedings pending against the Applicant Companies under Section 210 to 227 of the Companies Act, 2013 and Section 235 to 251 of the Companies Act, 1956 and other applicable provisions of the Companies Act, 1956/2013. The aforesaid affidavits of the

Authorised Signatories are attached as **Annexure A-18(a)** and **Annexure A-18(b)** respectively of the Application.

17. The Applicant Companies have furnished the following documents:-

i. Proposed Scheme of Arrangement (**Annexure A-1** of the application).

ii. Certificate of Incorporation along with Memorandum and Articles of Association of the Applicant Companies (**Annexure A-2, and Annexure A-4** respectively of the application).

iii. List of Equity Shareholders of the Applicant Transferor Company/Demerged Company as on **21st August, 2023** (**Annexure A-11** of the application).

iv. List of Equity Shareholders of the Applicant Transferee Company/Resulting Company as on **21st August, 2023** (**Annexure A-14** of the application).

v. Consent Affidavits of Equity Shareholders of the Applicant Companies (**Annexure A-12** and **Annexure A-15** respectively of the application).

vi. List of Creditors of the Applicant Transferor Company/Demerged Company as on **31st July, 2023** duly certified by M/s. V Awasthi

& Arvind Shrish, Chartered Accountants (**Annexure A-13** of the application).

vii. List of Creditors of the Applicant Transferee Company/Resulting Company as on **22nd August, 2023** duly certified by M/s. Anil Pariek & Garg, Chartered Accountants (**Annexure A-16** of the application).

viii. Affidavit of Director verifying the position of nil creditors in the 'Applicant Transferee Company/Resulting Company (**Annexure A-17** of the application).

ix. Certificates of the Statutory Auditors of the Applicant Companies to the effect that the Accounting treatment proposed in the Scheme is in conformity with Section 133 of the Companies Act, 2013 (**Annexure A-9** and **Annexure A-10** respectively of the application).

x. Audited Financial Statement as on **31st March, 2023** of the Applicant Transferor Company/Demerged Company (**Annexure A-3** of the application).

xi. Provisional Financial Statements of the Applicant Transferee Company / Resulting Company for the period ended 20th August, 2023 (**Annexure A-5** of the application).

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xii. Affidavit with regard to the Sectoral Regulator of the Applicant Companies [**Annexure A-19(a)** and **Annexure A-19(b)**] respectively of the application).

xiii. Report on Valuation of Shares and Share Exchange Ratio of the Registered Valuer for Securities and Financial dated **21st August, 2023** (**Annexure A-8** of the application).

xiv. Affidavits stating that there are no legal proceedings against the Applicant Companies [**Annexure A-18(a)** and **Annexure A-18(b)**].

18. The Applicant Companies have furnished the details of the Equity Shareholders, Preference Shareholders, Secured Creditors and Unsecured Creditors as follows:

Name of the Applicant Companies	**Shareholders along with their consent on affidavit**		**Creditors along with their consents on affidavit**			
	Equity Shareholders	**Consents submitted on affidavit**	**Secured Creditors**	**Consents submitted onaffidavit**	**Unsecured Creditors**	**Consents submitted on affidavit**
Applicant Transferor Company / Demerged Company	12 (Twelve)	All (100%) consent of Equity Shareholders in the form of Affidavits submitted for dispensation of the Meeting of Equity Shareholders.	4 (Four)	Meeting to beconvened	2,119 (Two Thousand One Hundred and Nineteen)	Meeting to beconvened
Applicant Transferee Company / Resulting Company	7 (Seven)	All (100%) consent of Equity Shareholders in the form of Affidavits submitted for dispensation of the Meeting of Equity Shareholders.	NIL	N.A. Affidavit of Director verifying the position of nil creditors in the 'Applicant Transferee Company/Resulting Company	NIL	N.A. Affidavit of Director verifying the position of nil creditors in the 'Applicant Transferee Company/ Resulting Company

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Name of the Applicant Companies	Preference Shareholders along with their consent on affidavit	
	Preference Shareholders	**Consents submitted on affidavit**
Applicant Transferor Company/ Demerged Company	NIL	N.A.
Applicant Transferee Company/ Resulting Company	NIL	N.A.

19. Accordingly, the directions of this Bench in the present case are as under:-

I. <u>In relation to Applicant Transferor Company / Demerged Company</u>:

a. The meeting of the Equity Shareholders is dispensed with keeping in view the shareholding and ownership pattern of the company and the fact that the consent by way of affidavits have been received from all the Equity shareholders;

b. The meeting of the Secured Creditors of the Applicant Transferor Company / Demerged Company be convened as prayed for on Saturday, 25th November, 2023 at 11:00 A.M. at the Head Office and Works of the Company at Lohia

Industrial Complex, Chaubepur, Kanpur – 209203 (U.P.). The quorum of the meeting of the Secured Creditors shall be in accordance with the provisions of Companies Act and the rules made thereunder. For computing the quorum, Secured creditors present through valid proxy shall also be considered.

c. The meeting of the Unsecured Creditors of the Applicant Transferor Company / Demerged Company be convened as prayed for on Saturday, 25th November, 2023 at 1:00 P.M. at the Head Office and Works of the Company at Lohia Industrial Complex, Chaubepur, Kanpur – 209203 (U.P.). The quorum of the meeting of the Unsecured Creditors shall be in accordance with the provisions of Companies Act and the rules made thereunder. For computing the quorum, unsecured creditors present through valid proxy shall also be considered.

II. <u>In relation to Applicant Transferee Company/Resulting Company</u>:

a. The meeting of the Equity Shareholders is dispensed with keeping in view the shareholding and ownership pattern of the company and the fact that the consent by way of affidavits have been received from all the Equity shareholders;

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b. There are no Secured Creditors of the Applicant Transferee Company/Resulting Company, as such, the question of issuing directions for convening/dispensing the meeting of the Secured Creditors of the Applicant/Transferee Company/Resulting Company does not arise;

c. There are no Unsecured Creditors of the Applicant Transferee Company/Resulting Company, as such, the question of issuing directions for convening/dispensing the meeting of the Unsecured Creditors of the Applicant Transferee Company/Resulting Company does not arise.

III. In case the required quorum as noted above for the meetings is not present at the commencement of the meeting, the meeting shall be adjourned by 30 minutes and thereafter the creditor(s) present and voting shall be deemed to constitute the quorum.

IV. **Mr. Rajesh Sharma,** Mobile No. 9312264174 email id: rajeshsharmafca@hotmail.com and **Mr. Prakhar Saran Srivastava,** Mobile No. 9452089541 email id:prakharsaran@gmail.com, are appointed as the Chairperson and Co-Chairperson for the meetings to be called under this order. An amount of ₹ 2,00,000/- (Rupees

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2 Lakhs only) and ₹1,50,000/- (Rupees One Lakh Fifty thousand only) be paid respectively for their services as the Chairperson and Co-Chairperson. The Chairperson shall have all other powers under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 read with the other applicable rules and provisions in relation to conduct of the meetings, including for deciding procedural questions that may arise at the meeting(s) or at any adjournment thereof, or any other matter relating to the meetings, including an amendment to the Scheme of Arrangement, if any, proposed by any persons.

V. Ms. Shruti Srivastava, Mobile No. 737903338, email id:csshrutisrivastava , is appointed as the Scrutinizer for the above meetings to be called under this order. An amount of ₹ 1,00,000/- (Rupees One lakh only) be paid for her services as the Scrutinizer.

VI. Apart from the above remuneration, the Applicant Transferee Company / Resulting Company shall make necessary and proper arrangements for travel / transport, stay and other allied expenses for Chairman, Co-chairman and Scrutinizer.

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VII. It is further directed that individual notices of the said meetings shall be sent by the Applicant Companies through registered post or speed post or through courier or e-mail, 30 days in advance before the scheduled date of the meeting, indicating the day, date, the place and time as aforesaid, together with a copy of the Scheme, copy of the explanatory statement, Report on Valuation of Shares and Share Exchange Ratio of the Registered Valuer as discussed in para 13 of this order, form of proxy and documents required to be sent under the Companies Act, 2013 and the applicable Rules made thereunder.

VIII. It is further directed that along with the notices, the Applicant Companies shall also send, statements explaining the effect of the Scheme on the creditors, shareholders, key managerial personnel, promoters and non-promoter members, etc. along with the effect of the Scheme of Arrangement on any material interests of the Directors of the Applicant Companies provided under sub-section (3) of Section 230 of the Act.

IX. It is further directed that the provisional Accounting Statement of the Applicant Companies be also circulated

along with the Notice of the aforesaid meetings in terms of Section 232(2)(e) of the Companies Act, 2013.

X. That the Applicant Companies shall publish an advertisement with a gap of at least 30 clear days before the aforesaid meetings, indicating the day, date and place and the time of the meeting as aforesaid, to be published in "The Pioneer" (English) and "Rashtriya Sahara" (Hindi) both having circulation in Kanpur in the State of Uttar Pradesh. It shall be stated in the advertisement that the copies of "Scheme", the Explanatory Statement required to be furnished can be obtained free of charge at the registered office of the Applicant Companies pursuant to Section 230 to 232 of the Act. The Applicant Companies shall also host the notice on the website, if any.

XI. It shall be the responsibility of the Applicant Companies to ensure that the notices are sent under the signature and supervision of the authorized representative of the Applicant Companies on the basis of Board resolutions and that they shall file their affidavits in the Tribunal at least seven days before the date fixed for the meetings.

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XII. At the venue of the meetings held physically, voting shall be conducted physically through poll by polling paper and the Secured Creditors and Unsecured Creditors present in person or by proxy shall be entitled to vote thereat. Subject to the directions and matters dealt with herein, the procedure for voting by polling paper and conduct of voting at the meeting shall be in so far as the same is prescribed by the Companies Act, 2013 read with the Companies (Management and Administration) Rules, 2014, Secretarial Standards on General Meetings and the forms prescribed thereunder shall be followed with such variations as may be required in the circumstances and in relation to the resolution for approval of the Scheme of Arrangement.

XIII. The Scrutinizer's report will contain his/her findings on the compliance to the directions given in Para V to X above.

XIV. The Chairperson shall be responsible to report the result of the meetings to the Tribunal in Form No. CAA-4, as per Rule 14 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 within 15 (Fifteen) days of the conclusion of the meeting. The Chairperson would be fully assisted by the Authorized representative / Director of the

Applicant Companies and the Scrutinizer in preparing and finalizing the reports.

XV. The Applicant Companies shall individually and in compliance of sub-section (5) of Section 230 of the Act and Rule 8 of Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 send notices in Form No. CAA-3 along with copy of the Scheme, Explanatory Statement and the disclosures mentioned in Rule 6 of the "Rules" to (i) Central Government through the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi; (ii) Jurisdictional Registrar of Companies; (iii) Income Tax Department and (iv)) Official Liquidator, Allahabad having jurisdiction over the Applicant Companies by mentioning the PAN number of the Applicant Companies; and to such other Sectoral Regulator(s) governing the business of the Applicant Companies, if any, stating that report on the same, if any, shall be sent to this Tribunal within a period of 30 days from the date of receipt of such notice and copy of such report shall be simultaneously sent to the Applicant Companies, failing which it shall be presumed that they have no objection to the proposed Scheme.

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XVI. The Applicant Companies shall furnish a copy of the Scheme free of charge within one day of any requisition for the Scheme made by any creditor or shareholder entitled to attend the meeting as aforesaid.

XVII. The Authorized Representative of the Applicant Companies shall furnish an Affidavit of Service of Notice of Meeting and publication of advertisement and compliance of all directions contained herein at least seven days before the date fixed for the meetings.

XVIII. All the aforesaid directions are to be complied with strictly in accordance with the applicable laws including forms and formats contained in the Rules as well as the provisions of the Companies Act, 2013 by the Applicant Companies

20. The Second Motion petition shall be filed within 7 days from the date of submission of report by Chairperson in accordance with the provisions of rule 16 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

21. With the aforesaid directions, this First Motion Application stands disposed of. A copy of this order be supplied to the learned counsel for the Applicant Companies who in turn shall supply a

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copy of the same to the Chairperson and the Scrutinizer immediately.

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(Ashish Verma) **Member (Technical)**	**(Praveen Gupta)** **Member (Judicial)**

Aditi Kharbanda
(LRA)